



Insurance and Pensions Commission

2018

Life Assurance Industry Report for the Year Ended 31 December 2018

E-MAIL: enquiry@ipec.co.zw

 160 Rhodesville Avenue
Greendale Harare

 www.ipec.co.zw

 Tel : 0242 443358/361/442,
fax: +263 4 443304

 @IPECZW

 Insurance and
Pensions Commission



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1. Executive Summary

- 1.1 As at 31 December 2018 the life assurance industry was composed of 11 registered life assurers, 5 reinsurers and 1502 life agents.
- 1.2 Gross Premium Written (GPW) for life assurers for the year ended 31 December 2018 amounted to \$426.05 million, representing a 16.41% growth from \$366 million that was reported for the year ended 31 December 2017.
- 1.3 Growth in GWP for life assurers was mainly driven by non-traditional life assurance products, which are pension fund business and funeral assurance business.
- 1.4 Reinsurers reported GPW of \$9.12 million for the year ended 31 December 2018, representing a growth of 18.25% from \$7.71 million reported in the same period in 2017.
- 1.5 The average retention ratio for the Life assurers was 98.52% for the year ended 31 December 2018. This indicates low reinsurance by the sector which is mainly attributable to the dominance of pension fund business which is non-risk in nature. Life assurance players should, however, continuously assess their risk capacity and transfer all excess risk to reinsurers to ensure that their balance sheets are not over-exposed.
- 1.6 Total industry assets for life assurers and assets supporting life reinsurance amounted to \$3.6 billion as at 31 December 2018, a growth of 6.47% from \$2.8 billion reported as at 31 December 2017.
- 1.7 Fair value adjustments on equities remain the major driver of growth in the assets base, buoyed by the continuing bullrun on the Zimbabwe Stock Exchange.
- 1.8 Prescribed assets investments reported by life assurers and reinsurers as at 31 December 2018 were \$321.29 million and \$3.21 million respectively. This translates into industry average prescribed asset ratios for life assurers and composite reinsurers of 9.05% and 6.48% respectively as at 31 December 2018. Life assurers' average prescribed asset ratio was above the minimum required rate of 7.5%, while the average ratio for reinsurers was below this minimum ratio.
- 1.9 Minimum prescribed asset ratios for life assurers and reinsurers were reviewed upwards to 15%, as pronounced in the 2019 National Budget Statement. Players are therefore urged to work towards meeting these new requirements.

- 1.10 Out of the 11 operating life assurance companies, 3 companies reported capital levels that were below the minimum required capital of \$5 million as at 31 December 2018. The Commission has engaged the undercapitalised players to put in place comprehensive recapitalisation plans.
- 1.11 All 5 operating reassurers recorded capital levels above the minimum capital requirements of \$7.5 million.
- 1.12 The life assurance industry reported total profit after tax but before transfers to policyholder funds of \$1.08 billion for the year ended 31 December 2018. Transfers to policyholder funds amounted to \$869.7 million resulting in profit after tax and transfer to policyholder of \$212.3 million.
- 1.13 Profits after tax but before transfer to policyholder funds increased by 636.59% from \$146.89 million for the year ended 31 December 2017. The increase was mainly driven by a significant increase in fair value adjustments on quoted equity investments
- 1.14 Net profit after tax reported by reassurers for life reinsurance business for the year ended 31 December 2018 amounted to \$1.96 million, an increase of 82.17% from \$1.08 million reported for the year ended 31 December 2017.
- 1.15 Total claims incurred by the life assurance industry for the year ended 31 December 2018 amounted to \$181.86 million, a decrease of 6.47% from \$194.44 million reported in 2017.
- 1.16 Reassurers on the other hand reported net incurred claims of \$2.87 million, an increase of 14.06% from the figure reported in 2017.
- 1.17 The economic environment remains unstable. Players are therefore urged to be proactive and explore alternative investments that are targeted at preserving policyholder values.
- 1.18 The Commission also encourages players to be more customer centric, and be on the lookout for changes in their tastes with a view to tailor make products that suits these changes.
- 1.19 The table on the next page shows the key performance indicators for the period under review.



Table 1: Key Performance Indicators

Life Assurers				Life Reinsurers		
Financial Aspect	Dec 2017	Dec 2018	Growth	Dec 2017	Dec 2018	Growth
GPW (\$000)	366,001	426,053	16.41	7.71	9,116	18.25%
NPW (\$000)	361,241	419,748	16.20%	6,151	8,008	30.19%
Net claims (\$000)	194,439	181,857	-6.47%	2,517	2,871	14.06%
Management expenses	93,409	100,063	7.12%	1,137	1,741	53.12%
Commissions (\$000)	17,563	19,108	8.80%	1,715	2,240	30.61%
Technical costs (\$000)	305,411	301,021	-1.44%	5,369	6,852	27.62%
Technical Profit	55,830	118,720	112.64%	782	1,156	47.83%
Profit after tax (\$000)	146,890	1,081,977	636.59%	1,077	1,962	82.17%
	Sep 2018	Dec 2018	Growth	Sept 2018	Dec 2018	Growth
Total Assets (\$000)	2,762,983	3,549,925	28.48%	48,433*	49,576*	2.36%
Total Liabilities (\$000)	2,258,169	2,908,579	28.80%	22,834	22,021	-3.56%
Capital (\$000)	504,813	641,346	27.05%	94,771**	106,010**	11.86%
Capital to liability ratio	22.35%	22.05%	0.30%	79.00%	125.00%	-46%
Prescribed assets (\$000)	322,221	321,29	-0.29%	3,276	3,211	-1.98%
Prescribed assets ratio	11.66%	9.05%	-261bp***	8.01%	6.48%	-153bp***

*Assets reported for reassurers in this table are only assets that support reinsurance business

**Capital positions for composite reassurers in this table are for both life and non-life business.

***Basis points



Section A: Life Assurance Industry

2. Performance in Terms of Business Written

- 2.1 Gross Premium Written (GPW) by direct life insurers for the year ended 31 December 2018 amounted to \$426.05 million, a growth of 16.41% from \$366 million recorded in the comparative period in 2017.
- 2.2 Growth in GPW in 2018 was mainly driven by funeral assurance and fund business which increased to \$24.01 million and \$18.67 million respectively from the premiums income written in 2017. This translates to 18.59% and 12.20% growth respectively.
- 2.3 Growth in the uptake of traditional life assurance products was strong for endowment and weak for GLA policies at 166.24% and 10.24% respectively. However, in absolute terms the growth was insignificant as compared to growth in funeral business. The industry is suffering from low confidence levels arising from legacy issues emanating from the lost values experienced due to the hyperinflationary years that culminated in dollarization of the economy in 2009.
- 2.4 Table 2 below shows the growth in GPW by class of business.

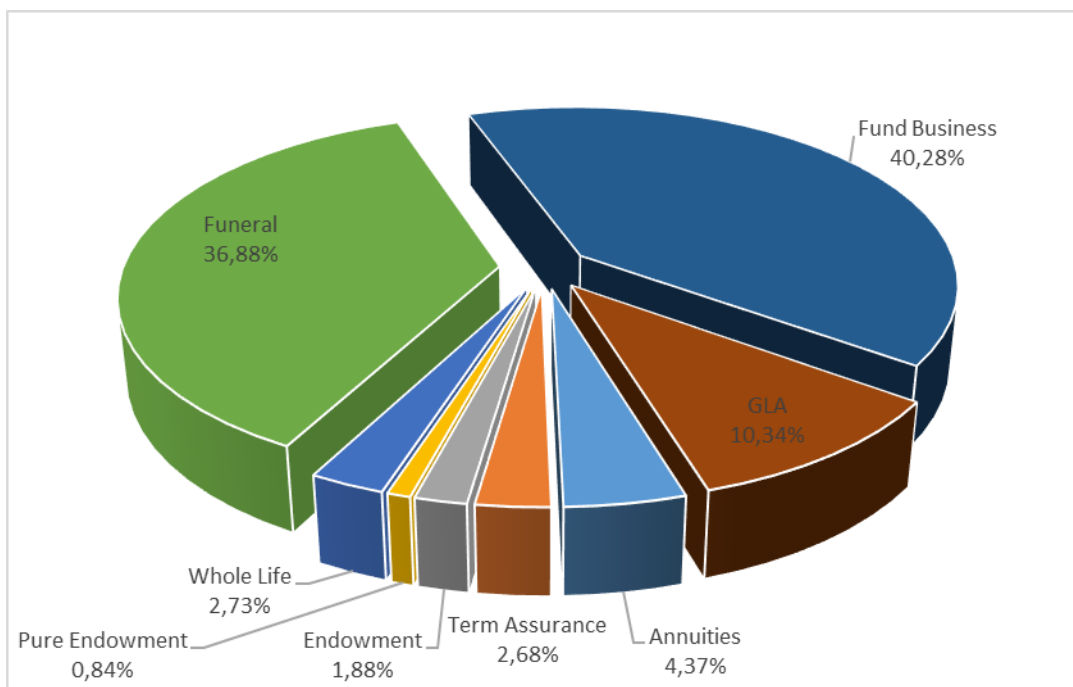
Table 2: Breakdown of GPW by product type

Type of product	Dec-17 \$ (000)	Dec-18 \$ (000)	Growth %
1. Annuities	16,086	18,609	15.68%
2. Term Assurance	9,439	11,401	20.79%
3. Endowment	3,012	8,019	166.24%
4. Pure Endowment	2,675	3,594	34.36%
5. Whole Life	9,260	11,633	25.63%
6. Funeral	132,569	157,176	18.56%
7. Fund Business*	152,983	171,649	12.20%
8. GLA	39,973	44,068	10.24%
Total	365,997	426,053	16.41%

* This figure is also reported in the insured funds pensions report as member contributions.

- 2.5 As shown in Figure 1 below, fund business and funeral assurance continues to be the dominant business classes and accounted for a combined 77.18% of GPW.
- 2.6 Life assurance business continues to be concentrated in non-traditional life assurance products. Nevertheless players are encouraged to be innovative and come up with relevant life assurance products that appeal to the changing needs of the insuring public.

Figure 1: Breakdown of GPW by Product Type



- 2.7 For the year which ended on 31 December 2018 a total of 10 life offices recorded growth in GPW ranging from 9.94% to 84.96%, compared to the comparative period in 2017. One player recorded a decrease in premium of -17.06.
- 2.8 Table 3 below shows the breakdown and growth of GPW by industry players.

Table 3: Breakdown of GPW by Company

	GPW (\$ 000)		
Name of Company	31 Dec 2017	31 Dec 2018	Percentage Growth
1. CBZ Life	10,094	11,097	9.94%
2. Econet Life	10,426	19,284	84.96%
3. Evolution Health and Life	542	666	22.88%
4. Fidelity Life	11,215	15,030	34.02%
5. First Mutual Life	35,245	43,454	23.29%
6. Getsure Life	1,776	2,144	20.72%
7. Heritage Life	1,026	851	-17.06%
8. Nyaradzo Life	95,424	108,398	13.60%
9. Old Mutual Life	166,572	184,902	11.00%
10. ZB Life	11,725	13,750	17.27%
11. Zimnat Life	21,956	26,477	20.59%
Total	366,001	426,053	16.41%

- 2.9 In terms of business mix, recurring business accounted for 77.53% of GPW for the year ended 31 December 2018, compared to new business which contributed only 22.47% of GPW for the same period (see appendix A5).
- 2.10 New business continues to be a small portion of GWP which may be attributed to the current economic environment where disposable incomes have been depressed by the rising inflationary pressures among other factors.
- 2.11 Corporate business continues to contribute more as a source of business, contributing 56.65% as compared to personal lines contributing 43.35% (See appendix A5).
- 2.12 Product innovation biased towards the ever-growing informal sector is important in enabling players to increase new business prospects. Players are therefore encouraged to develop new products that are appropriate and relevant to customers in the prevailing environment.



- 2.13 They should also consider adopting mechanisms that help to preserve policy values through embedding inflation protection mechanisms such as inflation riders.
- 2.14 For the year ended 31 December 2018, lapsed policies were 173,569 out of 2,099,973 lapsable policies, translating into a lapse ratio of 8.27%. This is an improvement from 11.86% reported for the previous period.
- 2.15 The number of “not taken up” policies as at 31 December 2018 was 6,698 a decrease from 9,220 policies reported as at 31 December 2017. The premium for not taken up policies amounted to \$190,000 compared to \$60,000 for the previous years.
- 2.16 Players should frequently carry out consumer awareness programmes aimed at educating the public about insurance in general and their products in particular.
- 2.17 Players should have well trained staff to avoid misselling of products as this will help to reduce lapse ratios and not taken up policies. Players should also properly target customers and sell appropriate product that match the client’s needs and financial position.

3. Capitalisation

- 3.1 The minimum capital requirement for life assurance players is \$5 million, which should be determined in line with provisions of Statutory Instrument 95 of 2017. Players are required to meet the above capital requirement at all times and should notify the Commission whenever they fall below the minimum required capital.
- 3.2 Of the 11 life assurers 8 reported capital positions that were compliant with the minimum capital requirement of \$5 million as at 31 December 2018.
- 3.3 The 3 undercapitalised entities experienced a deterioration in their capital positions ranging from -0.84% to -26.11% as at 31 December 2018 as compared to capital positions reported as at 30 September 2018.
- 3.4 The Commission continue to closely monitor the performance of these entities and their progress towards re-capitalisation.
- 3.5 Table 4 on the next page shows the capitalisation levels of life assurance companies as at 31 December 2018.

Table 4: Capitalisation of Life Assurers

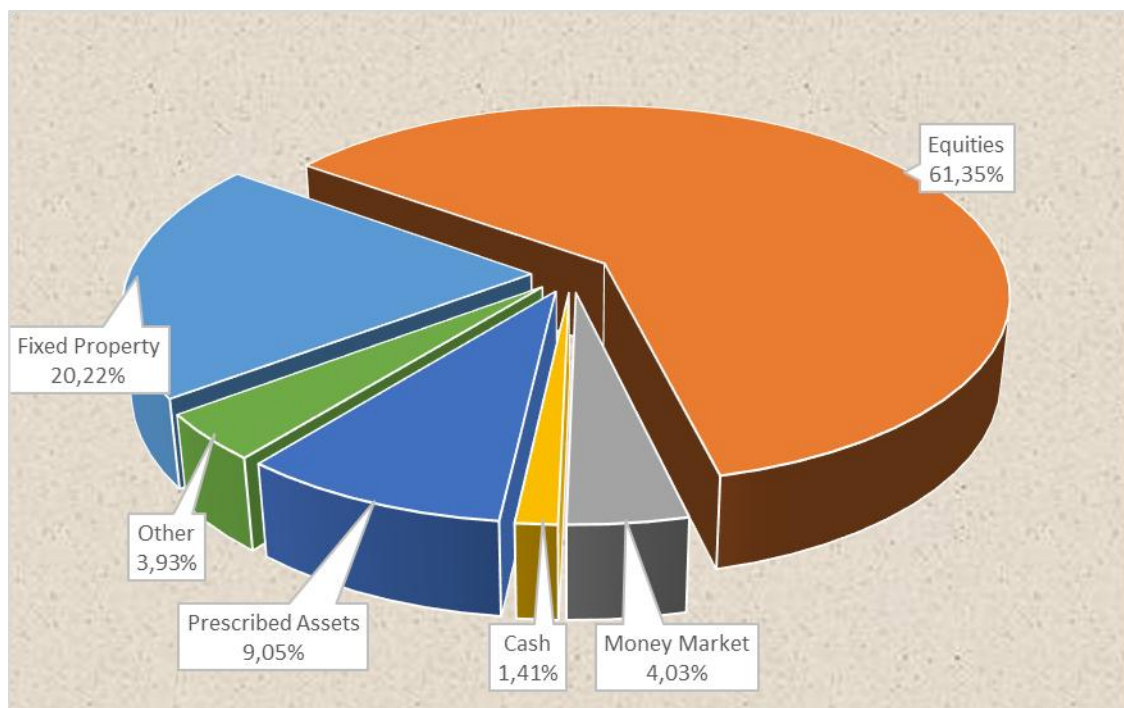
Company	Reported Capital Position (\$ 000)			
	Mar-18	Jun-18	Sep-18	Dec-18
1. CBZ Life	19 049	18 853	19 817	21 192
2. Econet Life	10 752	13 466	15 668	23 812
3. Evolution Life	3 233	3 186	3 202	3 175
4. Fidelity Life	2 552	6 666	3 999	2 955
5. First Mutual	77 236	82 097	74 691	76 643
6. Getsure Life	3 363	7 075	5 391	5 265
7. Heritage	620	690	713	706
8. Nyaradzo	12 680	15 931	17 192	19 426
9. Old Mutual	248 578	288 326	320 880	442 474
10. ZB Life	16 109	16 621	16 590	17 320
11. Zimnat	25 646	27 262	27 532	28 378
Total	419 818	480 173	505 675	641 346

**Capital positions in the table above were not adjusted in line with Statutory Instrument 95 of 2017.*

4. Asset Quality

- 4.1 The asset base for the life assurance industry as at 31 December 2018 stood at \$3.55 billion compared to \$2.76 billion reported as at 30 September 2018, representing a growth of 28.51%.
- 4.2 Growth in asset base was mainly driven by an increase of 51.16% in the value of equities from \$1.44 billion at 30 September 2018 to \$2.18 billion as at 31 December 2018. The growth in equities' value was due to unrealised gains that were driven by the bullrun on the Zimbabwe stock exchange.
- 4.3 As shown in figure 2 on the next page, the asset base for life assurers continues to be skewed towards 2 asset classes namely equities and fixed property which accounted for 81.57% of total assets.

Figure 2: Asset Breakdown



**Other assets consist of property plant and equipment, motor vehicles, furniture and fittings, inventory, prepayments and related party debtors.*

- 4.4 Equities accounted for 61.35% of the total assets as at 31 December 2018. The investment in equities continues to be above the maximum threshold of 45% as stipulated in Circular 3 of 2013. This is mainly a result of the continuing significant increases in the value of equities on the Zimbabwe Stock Exchange and the deliberate measure to preserve value by players.
- 4.5 The Commission is cognisant of the need to preserve value in the inflationary environment, through equity and property holdings, this may result in violation of investment guidelines. Under the circumstances, the life offices are urged to actively manage their assets to match their liabilities in particular the liquidity requirements.
- 4.6 As at 31 December 2018 the life assurance industry reported prescribed assets investments amounting to \$321.70 million, which translates into an industry prescribed asset ratio of 9.05%. This ratio was above the then obtaining regulatory minimum of 7.5%.



4.7 Five out of the eleven life assurance players were not compliant with the prescribed asset ratio as at 31 December 2018.

4.8 These 5 players should invest a total amount of \$1.4 million for them to be compliant.

Table 5: Prescribed Asset Ratios of Life Assurers

Company	PA Investments	Total assets	PA Ratio	Amount required to be compliant \$(000)
1. CBZ Life	5,391	27,488	19.61%	-
2. Econet Life	4,105	33,208	12.36%	-
3. Evolution Life	100	3,646	2.74%	173
4. Fidelity	34,302	108,068	31.74%	-
5. First Mutual	24,462	281,655	8.69%	-
6. Getsure	524	7,929	6.90%	71
7. Heritage Life	51	1,083	4.71%	30
8. Nyaradzo	10,323	149,544	6.90%	893
9. Old Mutual Life	216,332	2,744,357	7.88%	-
10. ZB	4,245	59,677	7.11%	231
11. Zimnat	21,455	133,269	16.10%	-
Total	321,290	3,549,925	9.05%	1,398

4.9 The minimum required prescribed asset ratio for the life assurance industry was increased to 15% effective 31 December 2019 through the National Budget Statement. Non-compliant players have been requested to submit compliance plans.

5. Reassurance

5.1 Reassurance levels in the life assurance industry continues to be relatively low, with the industry ceding only \$6.31 million out of the GPW of \$426.05 million for the period ended 31 December 2018. This translates to a reinsurance ratio of 1.51% (retention of 98.49%) (see appendix A1). The low reinsurance uptake by life assurers is partially explained by the non-risk fund business of life assurers that constitute 40.28% of their total premiums, which does not need to be reinsured.



- 5.2 The Commission urges industry players to continuously assess their exposures and review their reinsurance arrangements to ensure that they adequately manage their insurance risk.
- 5.3 The Commission also urges all players who are writing business in United States Dollars to retain only the portion that they have capacity to pay claims in United States dollars if they arise.
- 5.4 The Commission continues to urge players to effectively manage their risks and ensure safety of policyholders' funds. Proper risk management should be executed in line with the directive on risk management and corporate governance issued by the Commission.

6. Actuarial Matters

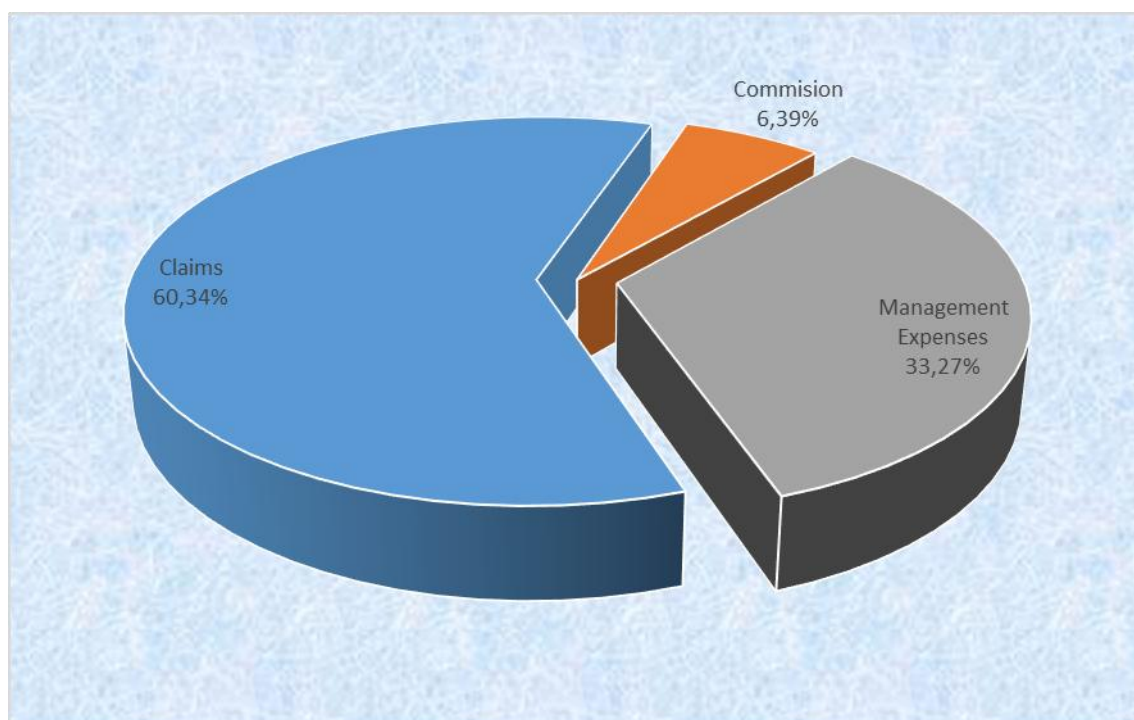
- 6.1 The life assurance industry reported technical liabilities amounting to \$2.50 billion as at 31 December 2018 and assets amounting to \$3.55 billion. The assets of the industry were considered to be adequate to cover technical liabilities leaving an excess of \$1.05 billion.
- 6.2 The main component of technical liabilities were future policy holder benefits amounting to \$2.489 billion, while unearned premium reserve, outstanding claims reserve and incurred but not reported claims reserve amounted to \$1.97 million, \$6.99 million and \$2.61 million respectively.
- 6.3 The average assets to liability ratio of the life assurance industry as at 30 September 2018 was 142.57 percent, indicating a healthy industry balance between assets and liabilities (See appendix A1).
- 6.4 Review of technical liabilities reserves should be done periodically and players should ensure that these estimates are adequate.

7. Earnings

- 7.1 Direct life assurers reported net profit after tax and before transfers to policyholder funds of \$1.08 billion for the year ended 31 December 2018, an increase of 636.59% from an amount of \$146.89 million reported for the year ended 31 December 2017.

- 7.2 The increase was mainly driven by an increase in fair value adjustments in equity investments on the Zimbabwe stock exchange and an increase in GPW which was more than the increase in costs.
- 7.3 Profit after transfers to policyholder funds amounted to \$212.28 million
- 7.4 Total technical profits reported by the life assurance industry for the year ended 31 December 2018 amounted to \$118.7 million an increase of 112.64% from \$55.8 million reported for the same period in 2017.
- 7.5 Average return on equity for the year ended 31 December 2018 using profits after transfer to policy holder funds was 33.10% while return on assets for the same period was 5.98%. This signifies continued profitability of the industry and efficient use of assets.
- 7.6 Claims remain the major component of costs, constituting 60.41% while management expenses and commission constituted 33.24% and 6.35% respectively. Figure 3 below shows the breakdown of costs for the life assurance industry.

Figure 3: Breakdown of Total Costs for Life Assurers



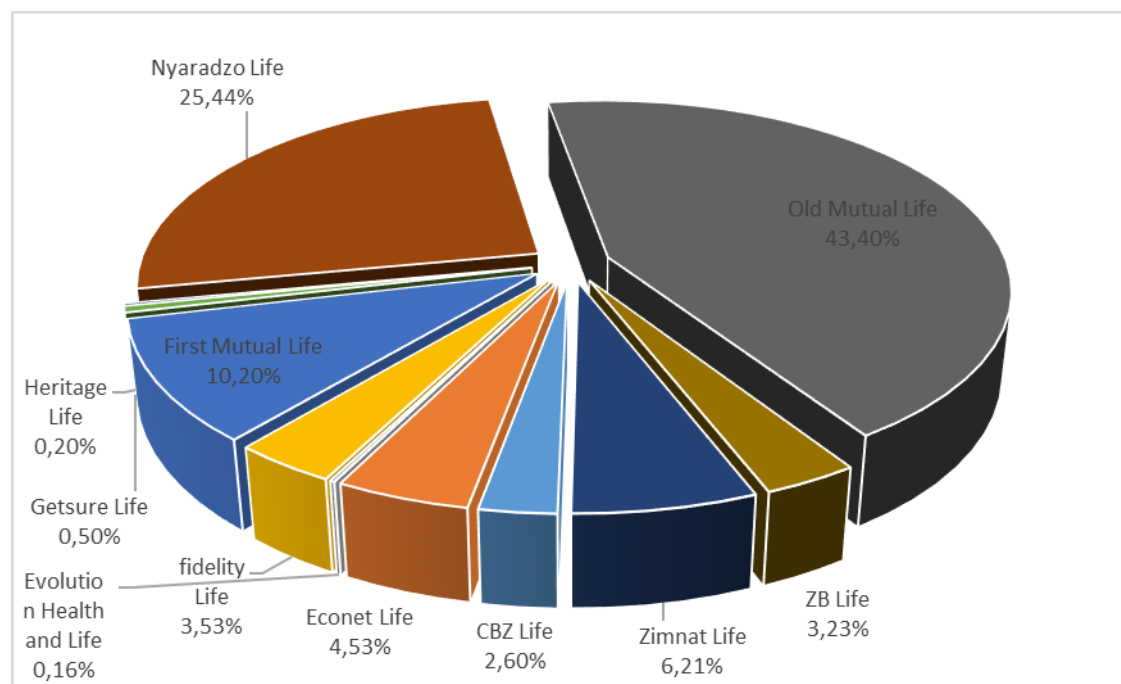
8. Liquidity

- 8.1 Liquid assets (cash money markets and prescribed assets) amounted to \$514.52 million, constituting 14.49% of the total asset base of \$3.55 billion as at 31 December 2018 (See appendix A7).
- 8.2 Working capital for the life industry as at 31 December 2018 amounted to \$263.63 million which translates to a current ratio of 6.6:1. This is considered adequate and in line with the nature of life assurance liabilities. (See appendix A7).

9. Market Share

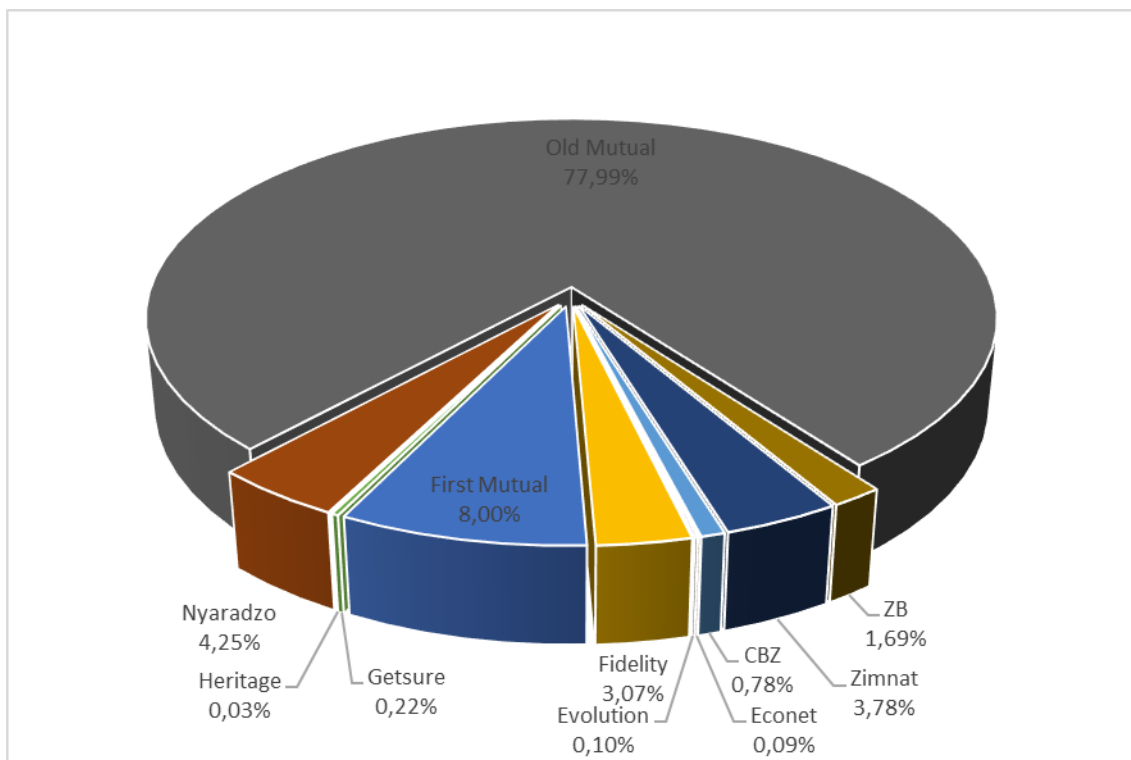
- 9.1 For the year ended 31 December 2018 Old Mutual, Nyaradzo and First Mutual dominated the life assurance industry in terms of GWP with a combined market share of 79.04%. As shown in Figure 4 below.
- 9.2 The remaining 20.96% was written by 8 entities. The life assurance market is highly concentrated as reflected by a relatively high Herfindal index of 2,724 in terms of GWP.

Figure 4: Market share of life assurers by GPW



- 9.3 As shown in Figure 5 on the next page, the asset base of the life assurance industry was concentrated in Old Mutual and First Mutual who controlled 85.99%, their market share.
- 9.4 The remaining 9 life assurance players controlled 14.01% of the industry assets
- 9.5 The Life assurance industry had a high herfindal index of 6,084 in terms of players market share of assets, indicating a high concentration of assets in a few players.

Figure 5: Market Share of Industry by Assets





Section B: Life Reassurance Industry

The statistics presented in this section of the report pertain to the composite reinsurers' life assurance business only except for the capital positions which comprises of both life and non-life business. Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a regional institution. The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

10. Performance in Terms of Business Written

10.1 Gross written premium reported by reassurers in respect of life assurance for the year ended 31 December 2019 amounted to \$9.12 million, an increase of 18.25 % from \$7.71 million written for the year ended 31 December 2017.

10.2 Growth in GPW was mainly driven by positive growth recorded by Zep Re, FBC Re and FM Re of 64.69%, 26.62% and 20.37% respectively. Grand Re did not write any life reinsurance business for the year under review.

10.3 Recurring business was the major source of business for the period ended 31 Decembers 2018, contributing 69% while the remaining 31% came from new business. Retention of business by players is important and helps to reduce marketing and new business acquisition costs.

10.4 On business mix 80% of GPW came from corporate lines while the remaining 20% came from personal lines.

10.5 Table 6 below shows breakdown of premium by industry players

Table 6: Breakdown of GPW

Name Of Company	Dec 2017 (\$000)	Dec 2018 (\$000)	Growth
	GPW	GPW	GPW%
1. Baobab Re	3,754	4,060	8.15%
2. FBC Re	665	842	26.62%

3. FM RE	2,160	2,600	20.37%
4. Grand Re	150	0	-100.00%
5. Zep Re	980	1,614	64.69%
Total	7,709	9,116	18.25%

10.6 Reinsurers retroceded life reinsurance premiums amounting to \$1.11 million out of a total GPW of \$9.12 million translating into a retention ratio of 87.85%.

10.7 It is important for reinsurers to continuously review their retrocession arrangements to ensure that they do not expose themselves to excessive risks than they can absorb in the event of losses

11. Capitalisation

11.1 All reinsurers reported capital levels above the minimum capital requirement of \$7.5 million as at 31 December 2018 before adjusting assets in line with Statutory Instrument 95 of 2017 (see table 7 below).

Table 7: Capitalisation of Composite Reinsurers

Company		Mar 2018 \$(000)	June 2018 \$(000)	Sept 2018 \$(000)	Dec 2018 \$(000)
1.	Baoba b Re	44,861	45,940	45,065	46,631
2.	FBC Re	28,060	28,580	21,804	29,431
3.	FM Re	9,318	9,429	10,042	12,001
4.	Grand Re*	9,735	9,821	10,502	10,297
5.	Zep Re**	5,607	5,965	7,358	7,650
Total		97,581	99,735	94,771	106,010

**The capital levels in the table above includes capital supporting non-life business*

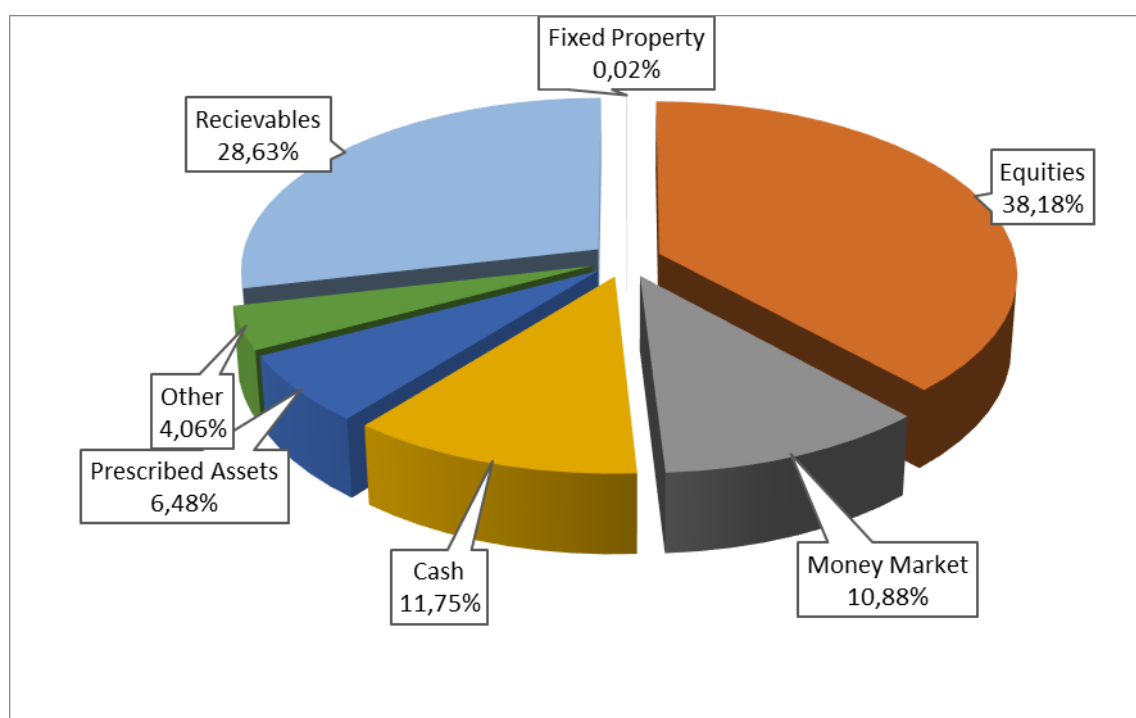
11.2 Zep Reinsurance company's capital position is also backed by its parent company domiciled in Kenya, which reported capital of \$228.9 million

12. Asset Quality

The asset base for Reassurers amounted to \$49.58 million as at 31 December 2018, a growth of 2.3% from \$48.43 million reported as at 30 September 2018.

- 12.1 Cash and cash equivalents increased by 164% from \$2.20 million to \$5.825 million which may be a result of shifting investments from other assets into cash. Despite the growth in the above assets a decrease in money market investments of 37.21% depressed the growth of the composite reassurers' asset base.
- 12.2 Other assets in figure 6 below consist of operating assets such as plant, property and equipment, motor vehicles, electronic equipment and prepayments, inventory and prepayments.
- 12.3 The asset base continues to be concentrated in 3 asset classes constituting 77.69% of the asset base, these asset classes are equities, cash and receivables as shown in figure 6 on the next page.

Figure 6: Breakdown of Assets.



12.4 The industry had liquid assets of as indicated by high portion of Cash and cash equivalents of 29.11% to total assets. The Commission continues to encourage players strike a balance between the need to remain liquid and avoid tying up of too much assets in these low return, near cash assets.

12.5 Players are urged to seek for alternative investments that can preserve value in an inflationary environment.

12.6 The average prescribed asset ratio for assets supporting life reinsurance on assets supporting life reinsurance business as at 31 December 2018 was 6.48%.

12.7 Only 2 out of 5 life reinsurers met the minimum required prescribed asset ratio of 7.5%. On the remaining 3 non-compliant players Grand Re and Zep Re had no investments in prescribed assets while FBC Re had a ratio of 5.49%.

12.8 Prescribed asset ratio for life reinsurers was increased to 15% as pronounced in the National Budget Statement.

12.9 The Commission has since requested those players who are currently not meeting these new levels to submit compliance plans by 31 March 2019.

Table 8: Prescribed Asset Ratio for Composite Reinsurers

Reinsurer	Prescribed assets \$(000)	Total assets \$(000)	Prescribed asset ratio %	Amount required to be compliant \$(000)	Variance in compliance %
1. Baobab Re	1,055	13,728	7.69%		0
2. FBC Re	1,738	31,636	5.49%	635	2.01
3. FM Re	418	4,072	10.27%		0
4. Grand Re	0	22	0%	2	7.5
5. Zep Re	0	118	0%	9	7.5
Total	3 211	40 904	6.48%	646	

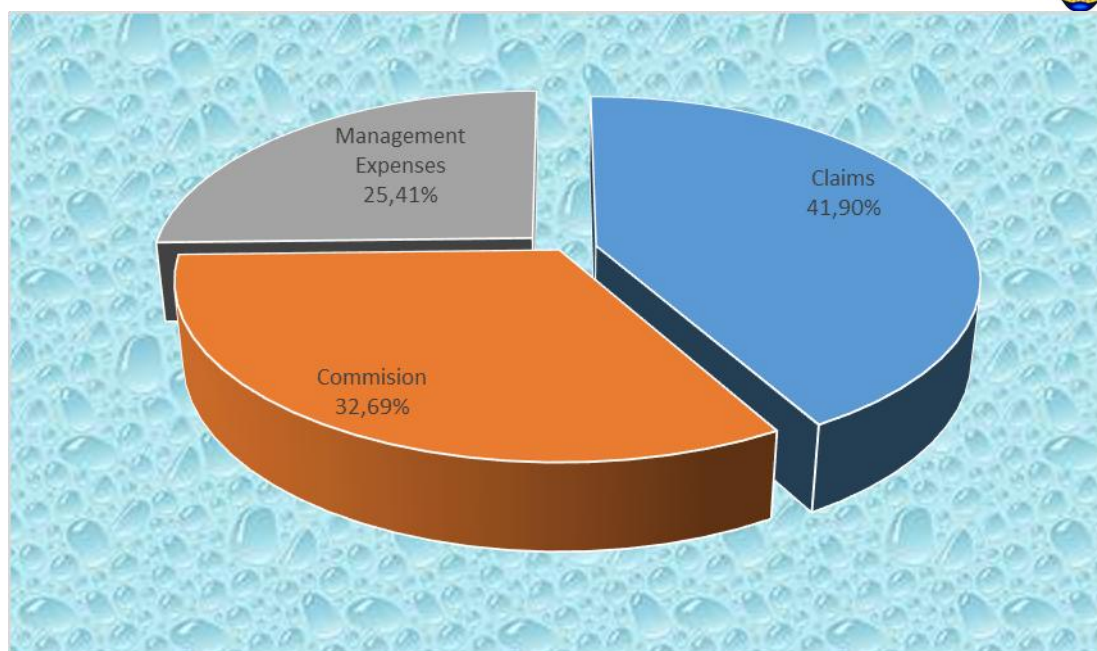
13. Actuarial Matters

- 13.1 Reassurers' asset base of \$49.58 million are deemed adequate to cover the technical liabilities of \$6.01 million. These technical liabilities were composed of future policyholders' benefits, unearned premium reserve, outstanding claims reserve, incurred but not reported claims reserve and life fund reserve. (See appendix B2).
- 13.2 Proper reserving by players is important and players should have sound reserving policies that should be periodically reviewed to ensure that reserves are adequate.

14. Earnings

- 14.1 Profit after tax for reassurers amounted to \$1.96 million for the year ended on 31 December 2018, a growth of 82.17% from \$1.08 million reported for the comparable period in 2017. (See appendix B2).
- 14.2 The increase in profits was mainly driven by an increase in fair value adjustments of equities on the Zimbabwe Stock Exchange.
- 14.3 Average return on shareholders' equity for the industry was 7.12% while average return on assets was 3.96% indicating low but increasing levels of profitability as compared to 4.29% and 2.22% respectively reported for the 3 quarters which ended on 30 September 2018 (See appendix B1).
- 14.4 Claims constituted 41.9% of total costs while commissions and management expenses constituted 32.69% and 25.41% respectively for the year ended 31 December 2018. Figure 7 below shows the total cost breakdown.

Figure 6: Breakdown of Costs



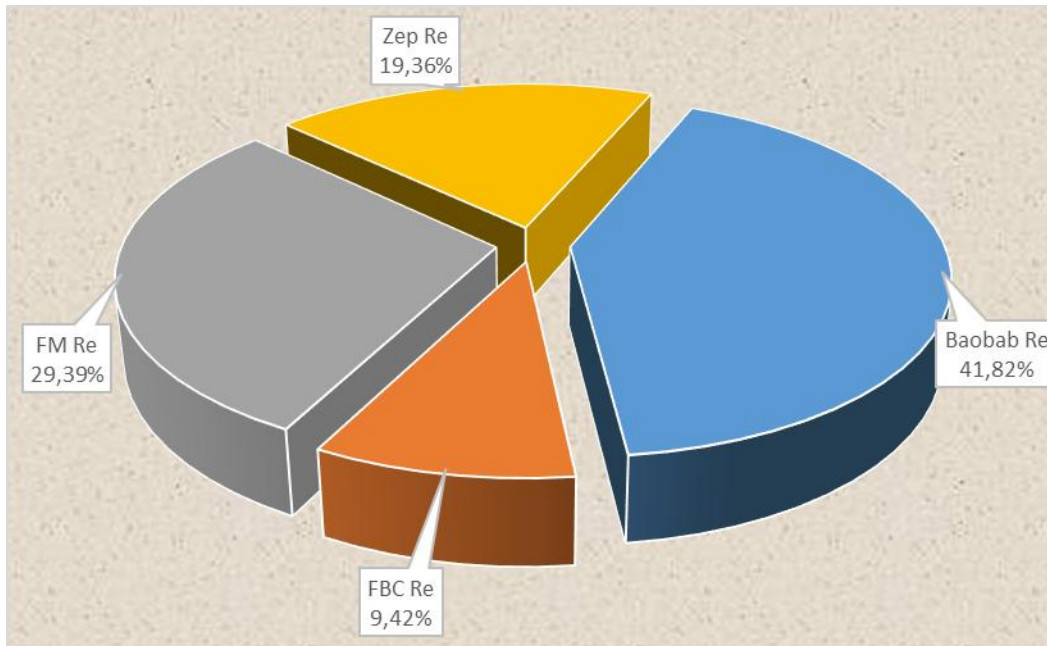
15. Liquidity

- 15.1 Liquid assets for reinsurers constituted 29.11% of total assets as at 31 December 2018 (See appendix B1).
- 15.2 The working capital of reinsurers supporting their reinsurance business was \$14.8 million translating to a current ratio of 166%. (See appendix B1).
- 15.3 Players are encouraged to have adequate liquidity to cover operational costs and their obligations as they fall due.

16. Market Share

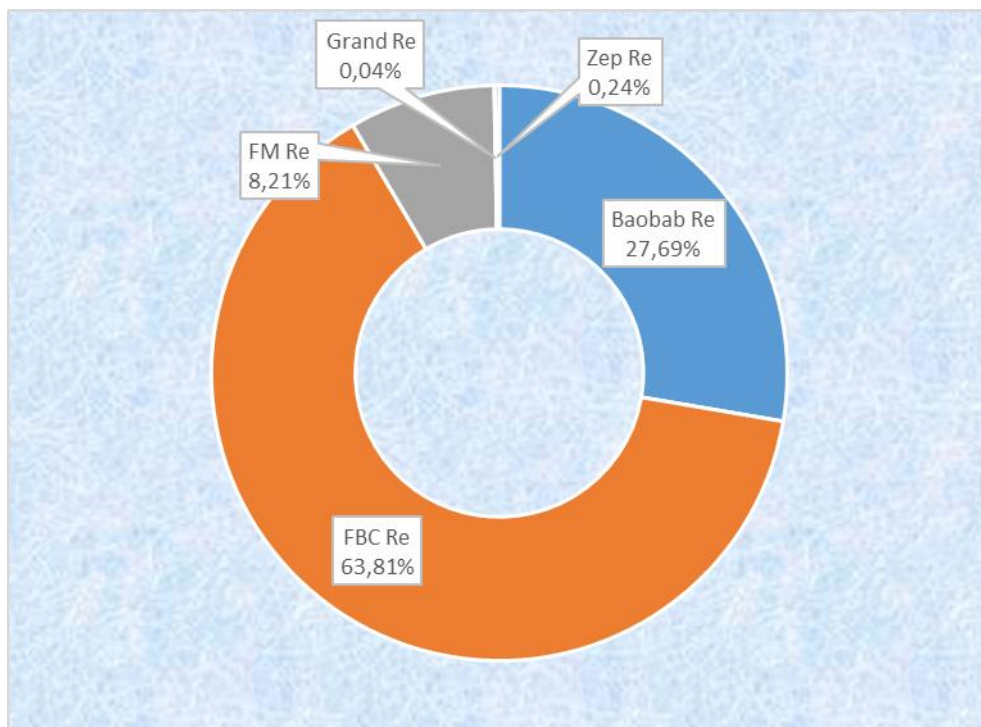
- 16.1 The market share of reinsurers in terms of GWP was dominated by 2 players namely Baobab reinsurance and First Mutual reinsurance with a combined market share of 71.21 %.
- 16.2 The remaining 2 players had a market share of 28.79%, with a split of 19.42% for Zep Reinsurance and 9.42% for FBC Reinsurance (See appendix B1).

Figure 7: Market Share of Life Reinsurers by GPW



16.3 Two entities named FBC Re and Baobab Re controlled 92.5% of industry assets amounting to \$49.58 million, the remaining 8.5% were held by the three remaining entities.

Figure 9: Market Share in Terms of Assets





Section C Appendix



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR LIFE ASSURANCE COMPANIES												
	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total/ Average
Key Performance Indicator												
Capital Adequacy												
Capital Position (\$ 000)	21 192	23 812	3 175	2 955	76 643	5 265	706	19 426	442 474	17 320	28 378	641 346
Capital Coverage Ratio (CCR)	423,84%	476,24%	63,50%	59,10%	1532,86%	105,30%	14,12%	388,52%	8849,48%	346,40%	567,56%	1166,08%
Equity/Total Assets Ratio	77,10%	71,71%	87,06%	2,73%	27,21%	12,99%	65,19%	12,99%	16,12%	29,02%	21,29%	18,07%
Solvency Margin	336,59%	253,43%	672,67%	2,81%	37,38%	197,64%	187,27%	14,93%	19,22%	40,89%	27,05%	22,05%
Asset Quality												
Total Assets (\$ 000)	27 488	33 208	3 647	108 068	281 655	7 929	1 083	149 544	2 744 357	59 677	133 269	3 549 925
Investments to Total Assets	50,16%	59,80%	0,00%	23,70%	64,26%	12,63%	5,88%	83,67%	5,88%	83,67%	77,70%	16,21%
Non-Interest Generating Assets/Total Assets	57,18%	27,92%	82,92%	94,99%	90,92%	83,30%	96,13%	95,35%	96,13%	95,35%	84,71%	93,70%
Fixed Assets/Total Assets	53,99%	24,82%	82,31%	59,70%	88,87%	12,76%	58,45%	60,79%	95,12%	93,66%	81,26%	90,37%
Prescribed Assets Ratio	19,61%	12,36%	2,74%	31,74%	8,69%	6,61%	4,71%	6,90%	7,88%	7,11%	16,10%	9,05%
Premium Debtors/Gross Premium	5,94%	5,34%	3,00%	115,44%	8,12%	251,45%	15,86%	18,29%	5,90%	7,34%	17,37%	15,13%
Premium Debtors/Total Assets	2,40%	3,10%	0,55%	16,05%	1,25%	13,25%	12,47%	13,25%	0,40%	1,69%	3,45%	1,82%
Reinsurance												
Risk Retention Ratio	96,93%	94,99%	99,40%	97,90%	98,92%	100,00%	98,82%	100,00%	98,55%	94,81%	97,03%	98,52%
Actuarial												
Total Assets/Total Reserves	565,83%	2406,38%	1770,39%	159,94%	152,54%	4609,88%	3094,29%	130,75%	122,17%	154,18%	143,62%	141,91%
Earnings												
Profit After Tax and transfer to policyholder fu	4 405	12 695	3	1 086	5 251	1 742	87	6 119	176 104	970	3 816	212278
Return on Equity	20,79%	53,31%	0,09%	36,75%	6,85%	33,09%	12,32%	31,50%	39,80%	5,60%	13,45%	33,10%
Return on Assets	16,03%	38,23%	0,08%	1,00%	1,86%	21,97%	8,03%	4,09%	6,42%	1,63%	2,86%	5,98%
Loss Ratio	28,38%	50,35%	15,11%	40,77%	34,67%	9,52%	14,39%	28,33%	57,25%	40,06%	31,15%	43,32%
Net Commission Ratio	8,43%	0,00%	22,36%	4,06%	4,08%	12,72%	6,42%	8,14%	1,16%	15,01%	9,65%	4,55%
Net Expense Ratio	31,84%	4,71%	40,18%	40,02%	41,86%	61,45%	89,06%	34,95%	9,87%	33,79%	36,20%	23,84%
Combined Ratio	68,66%	55,07%	77,64%	84,85%	80,61%	83,69%	109,87%	71,42%	68,28%	88,89%	77,00%	71,72%
Investment Income/NPW Ratio	6,76%	60,67%	0,00%	22,68%	79,24%	4,90%	8,44%	1,18%	503,21%	18,10%	91,78%	236,71%
Investment Income/Total Financial Assets	4,80%	46,43%	0,00%	11,82%	18,05%	6,86%	29,34%	4,61%	497,74%	4,73%	22,28%	158,85%
Liquidity												
Working Capital	10 129	24 825	545	26 389	9 747	4 426	450	56 402	110 112	638	19 966	263 629
Current ratio	510,71%	253,36%	274,47%	4421,12%	1823,62%	4021,51%	131,58%	555,24%	4714,81%	873,90%	328,27%	918,90%
Liquid assets as a percentage of total assets	42,82%	72,08%	0,22%	5,01%	9,08%	19,12%	18,01%	16,70%	3,87%	4,65%	15,29%	6,28%
Market Shares												
Market Share Based on GPW	2,60%	4,53%	0,16%	3,53%	10,20%	0,50%	0,46%	25,44%	43,40%	3,23%	6,21%	100%
Market Share Based on NPW	2,56%	4,36%	0,16%	3,51%	10,24%	0,51%	0,20%	25,82%	43,41%	3,11%	6,12%	100%
Market Share Based on Total Assets	0,77%	0,94%	0,10%	3,04%	7,93%	0,22%	0,03%	4,21%	77,31%	1,68%	3,75%	100%



APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE PERIOD ENDED 31 DECEMBER 2018 (000)												
	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
Gross Written Premiums	11 097	19284	666	15 030	43 454	2 144	851	108 398	184 902	13 750	26 477	426 053
Reinsurance Premiums	341	966	4	316	468	22	10		2 679	713	786	6305
Net Written Premiums	10 756	18 318	662	14 714	42 986	2 122	841	108 398	182 223	13 037	25 691	419 748
Increase/(Decrease) in UPR	157	-47		0		209		27119				27438
Net Earned Premiums	10 599	18 365	662	14 714	42 986	1 913	841	81 279	182 223	13 037	25 691	392 310
Transfer to IBNR	-61	1 493	5								176	1 613
Claims paid	2 240	7 731	95	5 999	14 405	149	121	30 710	104 315	5 071	7 167	
Outstanding claims	874				497	53				151	661	2 236
Net claims	3 053	9 224	100	5 999	14 902	202	121	30 710	104 315	5 222	8 004	181852
Net Commission Incurred	907		148	597	1752	270	54	8827	2117	1957	2 479	19108
Technical Result	6 639	9 141	414	8 118	26 332	1 441	666	41 742	75 791	5 707	15 208	191 199
Operating Expenses	3425	405	266	5889	17995		749		17984	4405	8 041	59159
Underwriting Result	3 214	8 736	148	2 229	8 337	1 441	-83	41 742	57 807	1 302	7 167	132040
Management expenses		458				1304		37883			1259	40904
Investment Income	727	11 114		3337	34063	104	71	1280	916958	2360	23578	993592
Unrealised Gains/Losses		148				330						478
Other expenses		6795	144		2722	25		5779				15465
Other Income	474			4920	14946	1196	99	7251		4143	62	33091
Profit Before Tax	4 415	12 745	4	10 486	54 624	1 742	87	6 611	974 765	7 805	29 548	1 102 832
Taxation	10	50		1915	4142			492	13735	374	137	20855
Profit After Tax	4 405	12 695	4	8 571	50 482	1 742	87	6 119	961 030	7 431	29 411	1081977
Transfer to policyholders funds			1	7 485	45 231				784 926	6 461	25 595	869 699
Dividends												0
Retained Income	4 405	12 695	3	1 086	5 251	1 742	87	6 119	176 104	970	3 816	212278



APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 31 DECEMBER 2018 (000)

	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
ASSETS												
Non-Current Assets												
Intangible assets	246	285	149						817		58	1555
Property and equipment	2037	1550	56	4613	12604	108	41	56107	1 166	417	1 093	79792
Investment property	4639	2084	1522	15723		380	540	4321	415 497	2785	21 699	469190
Investments and securities	3 363			22816	24462		47	2782	77 883	18557	85 444	235 354
Investment assets		4323	1175		74594	524		4641	2 046 230	4707		2 136 194
Investments in Associated Companies					138647					28610		167 257
Other Non-Current Assets	4 555		100	21 368			5	23060	69586			118 674
Total Non-Current Assets	14 840	8 242	3 002	64 520	250 307	1 012	633	90 911	2 610 362	55 893	108 294	3 208 016
Technical Assets												
Reinsurers' Share of O/S Claims												0
Deferred Acquisition Cost (DAC)	207											207
Total Technical Assets	207	0	0	0	0	0	0	0	0	0	0	207
Current Assets												
Cash & bank balances	1 346	4077	8	2 612	7 690	173	91	8869	22 873	13	2 268	50 020
Short term Investments	10424	19859		2800	17875	1343	104	16 106	83468	2762	17 370	172111
Other investments											738	738
Premium Receivables	659	1 030	20	17 350	3 529	5 391	135	19 822	10 903	1 009	4 599	64 447
Intercompany Investments			615									615
Other current assets	12		2	20786	2254	10	120	13836	16751			53 771
Total Current Assets	12 441	24 966	645	43 548	31 348	6 917	450	58 633	133 995	3 784	24 975	341 702
TOTAL ASSETS	27 488	33 208	3 647	108 068	281 655	7 929	1 083	149 544	2 744 357	59 677	133 269	3 549 925
Liabilities												
Deferred Tax Liabilities			84	126		1		2102	34551	938	667	38343
Future policyholders benefits	2422		74	66640	182922		35	113843	2243449	38273	91796	2489892
Short term loans												
Long term Loans				21188				1382			528	1910
Current Tax provisions			1									1
Gross Outstanding Claims	874		20	927	1 230				2842	433	661	6 987
IBNR	466	1328	33		489	120					176	2612
UPR	1 096	52	79			52		532			163	1974
Creditors		7875	102				342	10 028			6 552	24 899
Amount due to reinsurers		599		58							56	713
Other Liabilities	1 438	-458	79	16174	20371	2491		2231	21 041	2713	4 292	70372
Total Liabilities	6 296	9 396	472	105 113	205 012	2 664	377	130 118	2 301 883	42 357	104 891	2 908 579
SHAREHOLDERS' EQUITY												
Share Capital	1388			1089		20	1680		132	232	200	4741
Share Premium		5 685	2 128	671	2 606	4 602			29 990	4432	450	50564
Revaluation & Other Reserves			194	842	36		1111	7136	14410	9367	2 479	35575
Treasury shares				-10								-10
Prior years earnings	15 399	5330	850	-723	14378	-1100	-2171	5674	223048	2405	21 433	284523
Current year retained	4 405	12797	3	1 086	5 251	1 743	86	6 616	171 104	884	3 816	207791
Minority interest					54 372				3 790			58 162
Shareholders's Equity	21 192	23 812	3 175	2 955	76 643	5 265	706	19 426	442 474	17 320	28 378	641 346
TOTAL EQUITY & LIABILITIES	27 488	33 208	3 647	108 068	281 655	7 929	1 083	149 544	2 744 357	59 677	133 269	3 549 925



APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN FOR LIFE ASSURERS															
Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec-17	Dec-18	Growth (%)	Dec-17	Dec-18	Growth (%)	Dec-17	Dec-18	Growth (%)	Dec-17	Dec-18	Growth (%)	Dec-17	Dec-18	Growth (%)
CBZ Life	418	465	11,24%	7 166	7 704	7,51%	1462	1537	5,13%	1 048	1 392	32,82%	10 094	11 098	9,95%
Econet Life	162	698	330,86%	9 772	18 045	84,66%	0	0	0,00%	492	541	9,96%	10 426	19 284	84,96%
Evolution Health and Life	11	1	-90,91%	531	665	25,24%	0	0	0,00%	0	0	0,00%	542	666	22,88%
fidelity Life	43	1 118	2500,00%	4671	4121	-11,77%	10	64	540,00%	6491	9727	49,85%	11 215	15 030	34,02%
First Mutual life	2393	2 862	19,60%	17010	18324	7,72%	75	118	57,33%	15767	22152	40,50%	35 245	43 456	23,30%
Getsure Life	95	28	-70,53%	1079	1 361	26,14%	445	97	-78,20%	157	658	319,11%	1 776	2 144	20,72%
Heritage Life	0	15	0,00%	1016	836	-17,72%	10	0	-100,00%	0	0	0,00%	1 026	851	-17,06%
Nyaradzo Life	1166	1 542	32,25%	65044	84267	29,55%	84	103	22,62%	29 130	22485	-22,81%	95 424	108 397	13,60%
Old Mutual Life	3992	17 024	326,45%	15834	8481	-46,44%	61883	62954	1,73%	84863	96443	13,65%	166 572	184 902	11,00%
ZB Life	256	194	-24,22%	5110	5826	14,01%	1915	972	-49,24%	4440	6757	52,18%	11 721	13 749	17,30%
Zimnat Life	2798	3 564	27,38%	5708	7570	32,62%	2440	2359	-3,32%	11010	12983	17,92%	21 956	26 476	20,59%
TOTAL	11334	27 511	142,73%	132 941	157 200	18,25%	68324	68204	-0,18%	153 398	173 138	12,87%	365 997	426 053	16,41%



APPENDIX A5 LIFE ASSURANCE INDUSTRY STRUCTURE AS AT 31 DECEMBER 2018								
Name Of Company	Corporate Agents		Sole Agents		Staff		Branches	
	Dec-17	Dec-18	Dec-17	Dec-18	Dec-17	Dec-18	Dec-17	Dec-18
CBZ Life	4	3	60	75	43	42	3	3
Econet Life	0	0	0	0	10	21	1	1
Evolution Health and Life	0	0	61	0	86	30	5	11
Fidelity Life	0	0	216	76	182	99	9	7
First Mutual Life	0	0	205	216	198	202	9	9
Getsure Life	0	2	31	34	18	12	5	5
Heritage Life	0	0	31	28	24	15	5	5
Nyaradzo Life	6	10	291	303	1005	1046	45	47
Old Mutual Life	10	8	276	239	374	354	6	6
ZB Life	0	0	357	256	35	46	11	13
Zimnat Life	0	0	269	252	86	86	5	5
Total	20	23	1797	1479	682	1953	53	112

APPENDIX B1. KEY PERFORMANCE INDICATORS FOR COMPOSITE REASSURERS						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total/ Average
Key Performance Indicator						
Capital Adequacy						
Capital Position (\$ 000)	8 318	15 871	2 638	-50	779	27 556
Capital Coverage Ratio (CCR)	332,72%	634,84%	105,52%	-2,00%	31,16%	122,47%
Equity/Total Assets Ratio	60,59%	50,17%	64,78%	-231,82%	660,17%	55,58%
Solvency Margin	165,80%	546,15%	1274,40%	-5100,00%	197,22%	323,23%
Asset Quality						
Total Assets (\$ 000)	13 728	31 636	4 072	22	118	49 576
Investments to Total Assets	66,22%	49,31%	81,26%	0,00%	0,00%	56,48%
Non-Interest Generating Assets/Total Assets	88,45%	65,98%	56,70%	0,00%	0,00%	71,50%
Fixed Assets/Total Assets	0,00%	0,00%	0,00%	22,73%	0,00%	0,00%
Prescribed Assets Ratio	7,69%	5,49%	10,27%	0,00%	0,00%	6,48%
Premium Debtors/Gross Premium	90,91%	0,00%	12,23%	0,00%	1,80%	44,30%
Premium Debtors/Total Assets	26,89%	0,00%	7,81%	0,00%	24,58%	8,15%
Reinsurance						
Risk Retention Ratio	88,84%	72,33%	85,04%	0,00%	97,96%	87,85%
Actuarial						
Total Assets/Total Reserves	273,63%	1088,64%	1967,15%	0,00%	29,50%	1360,86%
Earnings						
Profit After Tax (000)	1047	135	342	-10	448	1962
Return on Equity	12,59%	0,85%	12,96%	19,61%	57,51%	7,12%
Return on Assets	7,63%	0,43%	8,40%	-45,45%	379,66%	3,96%
Loss Ratio	17,97%	20,20%	67,89%	0,00%	32,19%	28,46%
Net Commission Ratio	29,48%	19,95%	17,38%	0,00%	26,76%	24,57%
Net Expense Ratio	27,81%	14,94%	25,55%	0,00%	5,19%	21,74%
Combined Ratio	109,50%	95,74%	215,58%	0,00%	133,25%	133,99%
Investment Income/NPW Ratio	0,00%	14,94%	0,00%	0,00%	0,00%	1,14%
Investment Income/Total Financial Assets	2,75%	0,00%	17,33%	0,00%	0,00%	2,68%
Liquidity						
Working Capital	4 898	8 054	851	-51	690	14 832
Current ratio	1837,15%	134,79%	169,19%	23,29%	580,00%	166%
Liquid assets as a percentage of total assets	11,55%	34,02%	43,30%	77,27%	0,00%	28,50%
Market Shares						
Market Share Based on GPW	44,54%	9,24%	28,52%	0,00%	17,71%	100%
Market Share Based on NPW	45,04%	7,60%	27,61%	0,00%	19,74%	100%
Market Share Based on Total Assets	27,69%	63,81%	8,21%	0,04%	0,24%	100%



APPENDIX B3. STATEMENT OF FINANCIAL POSITION FOR COMPOSITE REASSURERS AS AT 30 SEPTEMBER 2018 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
ASSETS						
Non-Current Assets						
Intangible assets						0
Property plant and equipment	15	382	11	6		
Investment property						
Investments and securities	7 850	2997	1585			12 432
Life reinsurance contracts assets	570					
Deferred tax	2	452				
Investment assets		5182				5 182
Other Non-Current Assets						0
Total Non-Current Assets	8 437	9 013	1 596	6	0	19 052
Technical Assets						
Reinsurers' Share of O/S Claims						0
Deferred Acquisition Cost (DAC)						0
Total Technical Assets	0	0	0	0	0	0
Current Assets						
Cash & cash equivalents	383	1270	628	16		2 297
Money Market Investments	1220	9509	1257			11986
Current Prescribed Assets						0
Premium Receivables	3 161		302		298	3 761
Intercompany Investments						0
Inventory and Other Debtors	16	11320		1		11 337
Total Current Assets	4 780	22 099	2 187	17	298	29 381
TOTAL ASSETS	13 217	31 112	3 783	23	298	48433
Liabilities						
Deferred Tax Liabilities			-3			-3
Future policyholders benefits			113			113
Short term provisions	352	2835				3187
Loans						0
Current Tax provisions						0
Gross Outstanding Claims			485	1	5	491
IBNR			94		31	125
UPR					344	344
Life fund	4 632	250				4882
Creditors						0
Amount due to retrocessions	216		531			747
Other Creditors	69	13292	340	72	-752	13021
Total Liabilities	5 269	16 377	1 560	73	-372	22907
SHAREHOLDERS' EQUITY						
Share Capital	488	800	1	14		1303
Share Premium	6 281	4 803	2 287			13371
Revaluation & Other Reserves		70				70
Retained earnings prior years	493	8924	8	-55	670	
Retained Profit	686	138	-73	-9		742
Others						
Shareholders's Equity	7 948	14 735	2 223	-50	670	25 526
TOTAL EQUITY & LIABILITIES	13 217	31 112	3 783	23	298	48 433



APPENDIX B2. STATEMENT OF COMPREHENSIVE INCOME FOR COMPOSITE REASSURERS FOR THE PERIOD ENDED 31 DECEMBER 2018 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
Gross Written Premiums	4 060	842	2 600		1 614	9 116
Retrocessions Premiums	453	233	389		33	1108
Net Written Premiums	3 607	609	2 211	0	1 581	8 008
Increase/(Decrease) in UPR					119	119
Net Earned Premiums	3 607	609	2 211	0	1 462	7 889
Transfer to IBNR	35	68			24	127
Outstanding claims					485	485
Claims recovered	-13					
Paid Claims	648	123	1 501	7		2279
Net claims	670	191			509	1 370
Net Commission Incurred	1197	168	452		423	2240
Technical Result	1 740	250	258	-7	530	2 771
Operating Expenses	1003		565		82	1650
Underwriting Result	737	250	-307	-7	448	1121
Management expenses		91				91
Investment Income	259		649			908
Unrealised Gains/Losses	56					56
Other expenses	1			3		4
Other Income		23				23
Profit Before Tax	1 052	182	342	-10	448	2 014
Taxation	5	47				52
Profit After Tax	1 047	135	342	-10	448	1962
Transfer to policyholders funds						0
Dividends						0
Retained Income	1 047	135	342	-10	448	1962



APPENDIX B3. STATEMENT OF FINANCIAL POSITION FOR COMPOSITE REASSURERS AS AT 31 DECEMBER 2018 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
ASSETS						
Non-Current Assets						
Intangible assets						0
Property plant and equipment	12	377	9	5		
Investment property						
Investments and securities	7 850	9340	1982			19 172
Life reinsurance contracts assets	570					
Deferred tax	5	452				
Investment assets		554				554
Other Non-Current Assets						0
Total Non-Current Assets	8 437	10 723	1 991	5	0	21 156
Technical Assets						
Reinsurers' Share of O/S Claims						0
Deferred Acquisition Cost (DAC)					89	89
Total Technical Assets	0	0	0	0	89	89
Current Assets						
Cash & cash equivalents	344	5056	436	16		5 852
Money Market Investments	1241	5707	1327			8275
Current Prescribed Assets						0
Premium Receivables	3 691		318		29	4 038
Intercompany Investments						0
Inventory and Other Debtors	15	10150		1		10 166
Total Current Assets	5 291	20 913	2 081	17	29	28 331
TOTAL ASSETS	13 728	31 636	4 072	22	118	49576
Liabilities						
Deferred Tax Liabilities			-3			-3
Future policyholders benefits			113			113
Short term provisions	385	2656				3041
Loans						0
Current Tax provisions						0
Gross Outstanding Claims			519	1	5	525
IBNR			94		34	128
UPR					361	361
Life fund	4 632	250				4882
Creditors						0
Amount due to retrocessions	299		477			776
Other Creditors	94	12859	234	72	-1061	12198
Total Liabilities	5 410	15 765	1 434	73	-661	22021
SHAREHOLDERS' EQUITY						
Share Capital	488	800	1	14		1303
Share Premium	6 281	4 803	2 288			13372
Revaluation & Other Reserves		37				37
Retained earnings prior years	492	10062	8	-55	331	
Retained Profit	1 057	169	341	-10	448	2005
Others						
Shareholders's Equity	8 318	15 871	2 638	-51	779	27 555
TOTAL EQUITY & LIABILITIES	13 728	31 636	4 072	22	118	49 576